What is the root cause? What are the interventions which can make a difference? When interventions were undertaken in the past (e.g., shifting taxis to CNG), did they deliver useful results?

Making progress on these questions requires fine-grained data on air quality at thousands of locations in India. At present, such data does not exist. *What you measure is what you can manage.* We will only be able to rationally confront the air quality crisis of north India once the requisite statistical system has been constructed.

Information constraints hamper paternalism

A paternalistic government does nice things for each person. For this, it would need to know the preferences of each resident, to know what that person desires. Paternalism is infeasible because no government has such databases.

When redistribution is done, cash transfers are particularly attractive as they leave the choice of consumption goods in the hands of the recipient. No government knows what each individual wants, but the market economy is able to present each individual with a vast array of choices within which each individual obtains a best basket of consumption goods, in exchange for cash. This encourages us to focus redistribution, in India, into cash transfers.

Element 2: The knowledge constraint

Why do things go wrong? Because we do not know enough to do the right things.

Designing state intervention into the working of human society is an act of research. Whenever the state intervenes, a high level of knowledge is required about the problems it is seeking to solve, and predictions are required about how a proposed intervention will solve those problems. The